EAST AFRICA'S MOST TRUSTED INSURER

Jubilee HOLDINGS

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF YEAR ENDED 30 JUNE 2020

THE BOARD OF DIRECTORS OF JUBILEE HOLDINGS LIMITED IS PLEASED TO ANNOUNCE THE FOLLOWING UNAUDITED CONSOLIDATED RESULTS FOR THE HALF YEAR ENDED 30 JUNE 2020

UNAUDITED SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	June-20 Kes '000	June-19 Kes '000
Gross written premium and contributions	**20,225,097**	**20,713,789**
Gross earned premiums	15,518,621	15,654,443
Insurance revenue ceded to reinsurers	(5,368,637)	(6,088,415)
Net insurance premium revenue	**10,149,984**	**9,566,028**
Other revenue	3,802,522	4,067,355
Total income	**13,952,506**	**13,633,383**
Net insurance benefits and claims	(8,611,781)	(9,005,821)
Total expenses and commission	(3,266,473)	(3,008,412)
Result of operating activities	**2,074,252**	**1,619,150**
Share of results of associates	302,536	648,249
Group profit before tax	**2,376,788**	**2,267,399**
Taxation	(546,313)	(435,986)
Net profit	**1,830,475**	**1,831,413**
Total other comprehensive income net of tax	(61,064)	(147,509)
Total comprehensive income	**1,769,411**	**1,683,904**
Earnings per share (Kes)	21.94	21.72

UNAUDITED SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION

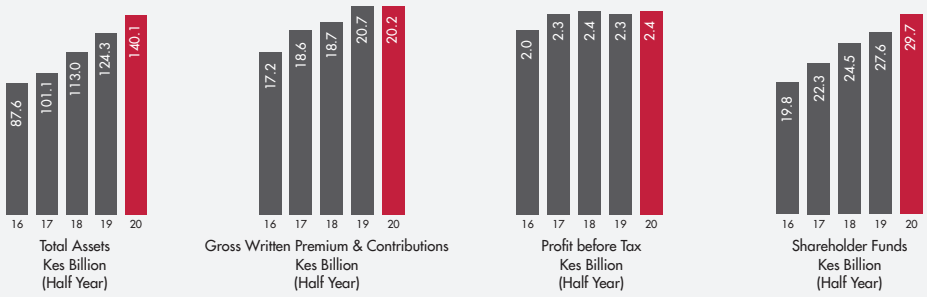
	June-20 Kes '000	December-19 Kes '000
EQUITY		
Share capital	362,365	362,365
Other reserves	2,658,547	2,687,299
Retained earnings	26,037,217	24,618,483
Proposed dividends	652,257	579,784
Non controlling interest	2,580,655	2,273,699
Total equity	**32,291,041**	**30,521,630**
Represented by:		
Assets		
Fixed assets	836,240	885,787
Government securities	74,080,882	67,096,380
Other Investment assets	31,569,402	29,115,185
Insurance assets	15,519,758	14,931,912
Other assets	3,347,576	3,027,677
Cash and cash equivalents	14,755,173	15,019,997
Total assets	**140,109,031**	**130,076,938**
Liabilities		
Insurance liabilities	42,726,769	40,029,568
Investment contract liabilities	57,309,597	54,893,923
Other liabilities	7,781,624	4,631,817
Total liabilities	**107,817,990**	**99,555,308**
Net assets	**32,291,041**	**30,521,630**

UNAUDITED SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kes '000	Retained Earnings Kes '000	Proposed Dividends Kes '000	Other Kes '000	Total Equity Kes '000
Six months ended 30 June 2020					
At start of period	**362,365**	**24,618,483**	**579,784**	**4,960,998**	**30,521,630**
Profit for the six months	**-**	**1,590,021**	**-**	**240,454**	**1,830,475**
Other comprehensive income	-	(17,117)	-	(43,947)	(61,064)
Transfer to reserves	-	(81,697)	-	81,697	-
Proposed 2020 interim dividends	-	(72,473)	72,473	-	-
At end of six months	**362,365**	**26,037,217**	**652,257**	**5,239,202**	**32,291,041**

UNAUDITED SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	June-20 Kes '000	December-19 Kes '000
Cash flows (used in)/generated from operating activities	4,950,119	(590,894)
Cash flows (used in)/from investing activities	(7,671,669)	(1,016,832)
Cash flows used in financing activities	2,401,656	(564,371)
(Decrease)/Increase in cash and cash equivalents	**(319,894)**	**(2,172,097)**
Cash and cash equivalents at start of year	15,019,997	17,187,969
Exchange gain/(loss) on translation of cash and cash equivalents in foreign currencies	55,070	4,125
Cash and cash equivalents at end of year	**14,755,173**	**15,019,997**



The Directors recommend the payment of an interim dividend of 20% or Kes. 1.00 per share (2019: 20%), subject to withholding tax where applicable. The dividend will be paid on or about 9 October 2020 to members on the register at the close of business on 11 September 2020. To facilitate payment of the dividend, the register of members will be closed from 14 September 2020 to 25 September 2020, both days inclusive.

By Order of the Board

Nizar Juma
Chairman
27 August 2020

Margaret Muhuni - Kipchumba
Company Secretary

JUBILEE HOLDINGS LIMTED

2020 HALF YEAR UNAUDITED FINANCIAL STATEMENTS

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Profit or Loss and Other Comprehensive Income
For the six months ended 30 June 2020

	Jun-20 Kes'000	Jun-19 Kes'000	Dec-19 Kes'000 Audited
Gross earned premium	15,518,621	15,654,443	29,119,931
Reinsurance	(5,368,637)	(6,088,415)	(9,630,273)
Net earned premium	**10,149,984**	**9,566,028**	**19,489,658**
Claims and policy holder's benefits payable	(8,611,781)	(9,005,821)	(19,726,931)
Commission paid	(1,894,964)	(1,936,444)	(3,637,104)
Commission earned	1,099,033	1,316,364	2,281,181
Management expenses	(2,470,542)	(2,388,332)	(5,446,599)
Net fair value (loss)/ gain through profit or loss	(1,173,908)	(728,987)	1,031,682
Investment Income	4,976,430	4,796,342	10,026,814
Operating profit	**2,074,252**	**1,619,150**	**4,018,701**
Share of results of associates	302,536	648,249	988,521
Group profit before income tax	**2,376,788**	**2,267,399**	**5,007,222**
Income tax expense	(546,313)	(435,986)	(989,535)
Net profit	**1,830,475**	**1,831,413**	**4,017,687**
Non-controlling interest	240,454	257,623	461,219
Profit attributable to shareholders	1,590,021	1,573,790	3,556,468
Other Comprehensive Income			
Change in fair value of financial assets at fair value through other comprehensive income	(347,607)	(294,799)	(373,867)
Net translation gain	303,012	138,104	52,639
Associate share of other comprehensive income	(17,117)	-	104,807
Deferred income tax relating to other comprehensive income	648	9,186	101,889
Total other comprehensive income	**(61,064)**	**(147,509)**	**(114,532)**
Total comprehensive income	**1,769,411**	**1,683,904**	**3,903,155**
Non-controlling interest	238,518	251,894	470,766
Profit attributable to shareholders	1,530,893	1,432,010	3,432,389
Earnings per share (Kes)-basic and diluted	**21.94**	**21.72**	**49.10**
Dividends:			
Dividend proposed	**72,473**	**72,473**	**579,784**

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Financial Position as at 30 June 2019			
	Jun-20 Kes'000	**Jun-19 Kes'000**	**Dec-19 Kes'000 Audited**
CAPITAL AND RESERVES			
Share capital	362,365	362,365	362,365
Fair value reserves	(296,892)	(69,288)	49,847
General reserves	70,000	70,000	70,000
Contingency reserves	1,509,194	1,233,277	1,427,497
Translation reserves	(666,393)	(804,236)	(902,683)
Statutory Reserve	2,042,638	3,598,306	2,042,638
Retained earnings	26,037,217	23,222,987	24,618,483
Proposed dividends	652,257	-	579,784
Equity attributable to owners of the company	**29,710,386**	**27,613,411**	**28,247,931**
Non-controlling interest	2,580,655	2,141,861	2,273,699
Total equity	**32,291,041**	**29,755,272**	**30,521,630**
ASSETS			
Intangible asset	119,005	110,910	277,126
Property and equipment	273,757	321,990	287,574
Investment properties	6,598,106	6,556,730	6,524,969
Right of use asset	443,478	-	321,087
Investment in associates	14,489,137	10,369,851	10,161,518
Deferred income tax asset	611,515	357,396	605,026
Unquoted equity investments at fair value through profit or loss	6,214,066	4,345,603	6,237,885
Unquoted equity investments at fair value through other comprehensive income	195,793	195,793	196,782
Quoted equity investments at fair value through profit or loss	3,039,729	4,075,111	4,082,470
Quoted equity investments at fair value through other comprehensive income	939,544	1,326,852	1,282,162
Mortgage loans	93,027	66,236	49,663
Loans on life insurance policies	1,015,751	899,933	1,004,928
Government securities at amortized cost	74,080,882	60,203,979	67,096,380
Commercial bonds	-	810,678	579,736
Receivables arising out of direct insurance arrangements	5,365,273	5,599,551	4,013,290
Receivables arising out of reinsurance arrangements	1,474,326	1,696,649	2,334,250
Reinsurers' share of insurance contract liabilities	7,595,560	7,933,378	7,131,813
Deferred acquisition costs	68,848	284,980	447,631
Other receivables	2,150,935	2,886,312	1,874,749
Current income tax recoverable	585,126	421,742	547,902
Deposits with financial institutions	6,831,458	10,175,390	9,496,402
Cash and bank balances	7,923,715	5,653,318	5,523,595
Total assets	**140,109,031**	**124,292,382**	**130,076,938**
LIABILITIES			
Deferred income tax liability	925,457	162,506	748,496
Insurance contract liabilities	31,590,435	28,553,087	29,729,180
Payable under deposit administration contracts	57,309,597	49,851,363	54,893,923
Lease liability	318,187	-	284,765
Unearned premium reserve	9,861,103	10,011,882	8,414,682
Creditors arising out of direct insurance arrangements	230,045	202,402	278,157
Creditors arising out of reinsurance arrangements	1,045,186	1,308,334	1,607,549
Other payables	3,399,257	3,260,165	3,037,763
Dividends payable	455,810	1,011,078	473,034
Borrowings	2,418,880	-	-
Current income tax payable	264,033	176,293	87,759
Total liabilities	**107,817,990**	**94,537,110**	**99,555,308**
Net assets	**32,291,041**	**29,755,272**	**30,521,630**

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Changes in Equity for the six months ended 30 June 2020

	Share Capital	Fair Value Reserves	General Reserves	Translation Reserves	Contingency Reserves	Statutory Reserves	Retained Earnings	Proposed Dividends	Equity Attributable to Owners	Non-Controlling Interest	Total Equity
	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000
Six months ended 30 June 2020											
At start of year	362,365	49,847	70,000	(902,683)	1,427,497	2,042,638	24,618,483	579,784	28,247,931	2,273,699	30,521,630
Profit for the period	-	-	-	-	-		1,590,021	-	**1,590,021**	240,454	**1,830,475**
Other comprehensive Income											
Share of OCI from associates	-	-	-	-	-	-	(17,117)	-	**(17,117)**	-	**(17,117)**
Change in fair value of FVTOCI	-	(347,293)	-	-	-	-	-	-	**(347,293)**	(314)	**(347,607)**
Net translation gain	-	-	-	236,290	-	-	-	-	**236,290**	66,722	**303,012**
Deferred income tax relating OCI	-	554	-	-	-	-	-	-	**554**	94	**648**
Transfer to contingency reserves	-	-	-	-	81,697	-	(81,697)	-	**-**	-	**-**
Total comprehensive income for the period	**-**	**(346,739)**	**-**	**236,290**	**81,697**	**-**	**(98,814)**	**-**	**(127,566)**	**66,502**	**(61,064)**
Transactions with owners:											
Dividends: Proposed 2020 interim dividend	-	-	-	-	-	-	(72,473)	72,473	**-**	-	**-**
Total transactions with owners:	**-**	**-**	**-**	**-**	**-**	**-**	**(72,473)**	**72,473**	**-**	**-**	**-**
At end of the period	**362,365**	**(296,892)**	**70,000**	**(666,393)**	**1,509,194**	**2,042,638**	**26,037,217**	**652,257**	**29,710,386**	**2,580,655**	**32,291,041**

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Changes in Equity for the six months ended 30 June 2019

	Share Capital	Fair Value Reserves	General Reserves	Translation Reserves	Contingency Reserves	Statutory Reserves	Retained Earnings	Equity Attributable to Owners	Non-Controlling Interest	Total Equity
	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000	Kes'000
Six months ended 30 June 2019										
At start of year (01/01/2019)	**362,365**	**214,967**	**70,000**	**(943,724)**	**1,233,277**	**3,598,306**	**21,649,197**	**26,184,388**	**1,886,979**	**28,071,367**
Profit for the period	-	-	-	-	-		1,573,790	**1,573,790**	257,624	**1,831,414**
Other comprehensive Income										
Change in fair value of FVTOCI	-	(292,859)	-	-	-	-	-	**(292,859)**	(1,940)	**(294,799)**
Gain/loss on disposal of assets	-	-	-	-	-	-	-	**-**	-	**-**
Net translation gain	-	-	-	139,488	-	-	-	**139,488**	(1,384)	**138,104**
Deferred income tax relating OCI	-	8,604	-	-	-	-	-	**8,604**	582	**9,186**
Total comprehensive income for the period	**-**	**(284,255)**	**-**	**139,488**	**-**	**-**	**-**	**(144,767)**	**(2,742)**	**(147,509)**
Total transactions with owners:	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
At end of the period	**362,365**	**(69,288)**	**70,000**	**(804,236)**	**1,233,277**	**3,598,306**	**23,222,987**	**27,613,411**	**2,141,861**	**29,755,272**

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Cash Flows for the six months ended 30 June 2019			
	Jun-20 Kes'000	**Jun-19 Kes'000**	**Dec-19 Kes'000 Audited**
Cash flow from operating activities			
Profit before income tax	2,376,788	2,267,399	5,007,222
Adjustments for: -			
Depreciation	103,805	85,762	152,412
Fair value gain on investment properties	-	704,897	(270,029)
Fair value loss on equity investments at fair value through profit or loss	1,178,824	-	(1,031,683)
Rental income	-	2,810,098	(575,448)
Dividend receivable	(321,218)	3,810,650	(371,794)
Net fair value gains/(losses) on disposal	-	-	(85,473)
Investment income	(4,976,429)	(4,240,452)	(10,026,814)
Share of result of associates after income tax	(302,536)	(648,249)	(988,521)
Operating profit before working capital changes	**(1,940,766)**	**4,790,105**	**(8,190,128)**
Change in premium, reinsurance and other receivables	1,836,524	(3,180,443)	(1,047,926)
Change in reinsurance and other payables	5,299,475	1,384,119	9,558,181
Cash generated from operations	**5,195,233**	**2,993,781**	**320,127**
Income tax paid	(245,114)	(193,637)	(911,021)
Net cash inflow from operating activities	**4,950,119**	**2,800,144**	**(590,894)**
Cash flow from investing activities			
Rent, interest and dividend received	4,976,429	2,881,891	9,795,940
Dividends received from associates	16,981	285,330	557,318
Proceeds from sale of quoted shares	122,570	-	-
Proceeds from disposal of property and equipment	-	678	(5,321)
Proceeds from part redemption of shares in associate	-	-	362,830
Purchase of property and equipment	(49,603)	(57,515)	(249,732)
Additions of investment properties	(865)	-	(30,014)
Purchase of unquoted shares	(652,841)	-	(202,203)
Purchase of quoted shares	(9,868)	(13,919)	-
Additional investment in subsidiary	-	(14,777)	-
Additional investment in associate	(4,440,721)	-	-
Mortgage loans advanced/(redeemed)	(16,925)	21,202	15,853
Loans on life insurance policies advanced/(redeemed)	(76,286)	17,045	(73,609)
Purchase of government securities	(8,153,785)	(7,388,437)	(11,459,014)
Redemption of commercial bonds	613,245	56,445	271,120
Net cash (outflow)/inflow from investing activities	**(7,671,669)**	**(4,212,057)**	**(1,016,832)**
Cash flow from financing activities			
Proceeds from (repayments)/borrowings	2,418,880	-	-
Dividends paid	(17,224)	-	(564,371)
Net cash outflow from financing activities	**2,401,656**	**-**	**(564,371)**
(Decrease)/increase in cash and cash equivalents	(319,894)	(1,411,913)	(2,172,097)
Cash and cash equivalents at start of year	15,019,997	17,187,969	17,187,969
Exchange gain/(loss) on translation	55,070	52,652	4,125
Cash and cash equivalents at end of the period	**14,755,173**	**15,828,708**	**15,019,997**

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Notes to the Unaudited Consolidated Interim Financial Statements

1. General Information

Jubilee Holdings Limited is a limited liability company incorporated and domiciled in Kenya. The address of its registered office is: Jubilee Insurance House, Wabera Street, Nairobi, Kenya. The Company has a primary listing on the Nairobi Securities Exchange and is cross-listed on the Uganda Securities Exchange and Dar es Salaam Stock Exchange.

The Company through its subsidiaries and associates (together forming the Group) underwrites Life and non-life insurance risks, such as those associated with death, disability, health, property and liability. The Group also issues a diversified portfolio of investment contracts to provide its customers with asset management solutions for their savings and retirement needs. It has operations in Kenya, Uganda, Tanzania, Burundi and Mauritius.

2. Basis of Preparation

The measurement basis applied is the historical cost basis, except where accounting policies state otherwise. The financial statements are presented in Kenya Shillings (Kes), rounded to the nearest thousand, unless otherwise indicated.

3. Earnings Per share

Earnings per ordinary share is calculated by dividing the net profit attributable to Shareholders by the number of shares outstanding at the end of the year.

	Jun-20	**Jun-19**
Net profit attributable to Shareholders (Kes'000)	1,590,021	1,573,790
Number of ordinary shares in issue	72,472,950	72,472,950
Earnings per share (Kes)-Basic and diluted	**21.94**	**21.72**

There were no potentially dilutive shares in issue on 30 June 20 and 30 June 2019. Diluted earnings per share are therefore the same as basic earnings per share.

4. Dividend

The Directors recommended the payment of an interim dividend of 20% or Kes 1.00 per share (2019: 20% or Kes 1.00 per share), subject to withholding tax where applicable.